EXECUTIVE SUMMARY

A. Introduction:

Tuguegarao City was originally created in May 1604 as a "mission pueblo". There is no record available regarding the law creating it as a Municipality. By virtue of Republic Act No. 8755, "An act converting the Municipality of Tuguegarao, Cagayan Province into a component City to be known as Tuguegarao City", Cagayan's first City was created. R.A. No. 8755 was approved on November 4, 1999 and ratified on December 18, 1999.

Financial, compliance, and value for money audits were conducted on the accounts and operations of the LGU Tuguegarao City for the calendar year 2016. The audit objectives were to ascertain the propriety of the disbursements, the reliability of the financial reports, the adequacy of accounting records, compliance with laws, rules, and regulations as well as adherence to prescribed policies and procedures. Likewise, the audit was conducted to determine whether plans, programs, activities and projects for the year were attained at an efficient, economic and effective manner.

B. Highlights of Financial Information:

The financial condition and results of operations of LGU-Tuguegarao City for CY 2016 with comparative figures for CY 2015, expressed in Philippine Peso, are as follows:

Accounts	2016	2015	Increase/(Decrease)
Assets	3,043,978,872.01	2,679,994,276.17	363,984,595.84
Liabilities	947,295,153.52	923,965,168.09	23,329,985.43
Government Equity	2,096,683,718.49	1,756,029,108.08	340,654,610.41
Income	772,974,071.61	707,365,303.55	65,608,768.06
Expense	522,806,566.73	465,756,974.99	57,049,591.74
Appropriation	825,147,446.00	733,585,068.00	91,562,378.00
Obligation	668,256,084.76	488,017,573.06	180,238,511.70

The funds received by the LGU and transferred to other agencies and non-government and people's organizations for CY 2016 with comparative figures for CY 2015, expressed in Philippine Peso, are shown below:

Funds Received from Other Agencies	2016	2015	Increase/(Decrease)
NGAs	30,547,798.00	11,901,723.64	18,646,074.36
LGUs	1,000,000.00	1,250,000.00	(250,000.00)
NGOs/POs	1,400,000.00	0.00	1,400,000.00
Others	26,065,593.53	1,100,000.00	24,965,593.53
Total	**59,013,391.53**	**14,251,723.64**	**44,761,667.89**

C. Independent Auditor's Report on the Financial Statements:

The Auditor rendered an **unqualified opinion** on the fairness of the presentation of financial statements of the LGU Tuguegarao City as of December 31, 2016.

D. Summary of Significant Findings and Recommendations:

1. **Disbursements totaling P43,130,861.13 for various projects were not supported with complete documentary requirements as prescribed under COA Circular No. 2012-001, thus, the validity and propriety of the transactions could not be ascertained.**

   We recommended that management ensure that all payments to be made for the procurement of goods and infrastructure projects are supported with the documentary requirements prescribed under Sections 9.1 and 9.2 of COA Circular No. 2012-001. Further, we recommended that the lacking documents be submitted immediately to facilitate the review of the subject procurement activities.

2. **Fund transfers to Barangays within the City amounting to P10,741,000.00 were not supported by complete documentary requirements prescribed under Section 3.1.1 of COA Circular No. 2012 – 001, as updated by COA Circular No. 2016 – 002, thereby casting doubt as to the validity and propriety of the transactions.**

   Moreover, the City allowed the release of additional financial assistance to Barangays which still have outstanding or unliquidated funds transferred in prior years which is contrary to Section 3.1.1 of COA Circular No. 2012 – 001, as amended by COA Circular No. 2016 – 002.

   We recommended that Management ensure that complete documentary requirements are submitted and fund transfers granted in previous periods are liquidated before the processing of financial assistance to Barangays in strict compliance to Section 3.1.1 of COA Circular No. 2012 – 001 as amended by COA Circular No. 2016 – 002.

3. **It was noted upon contract review and technical inspection of the COA Technical Audit Specialists that there were deficiencies in the procurement of various goods and infrastructure projects amounting to P10,668,920.74.**

   Also, the four (4) units of dump trucks delivered were registered under the name of private companies on dates prior to the execution of the contract between the LGU and supplier, hence, the trucks are not considered as brand new.

We recommended the following:

Road Concreting along Santol Street and Santol Street Extension

- The City Mayor should require Siffu Rocks Construction to correct/rectify the deficiencies in the road concreting project, otherwise, the contractor and the other persons determined responsible for the deficiency shall be directed to refund the amount of P970,499.56.

Construction of Main Drainage Structure located at Diversion – Bagay – Solana Road

- The City Mayor should instruct the personnel responsible in the computation of the Approved Budget of the Contract to exercise prudence in the determination thereof to ensure that the cost of the projects of the LGU is reasonable.

- Moreover, the City Mayor should require the concerned officials and the contractor to correct the deficiencies/observations noted by the COA Technical Audit Specialists.

Supply and Delivery of Brand New Meat Van and Four (4) Units of Dump Trucks

- The City Mayor should require the concerned officials to explain why they accepted the subject van and dump trucks even if the van and trucks were registered in the name of a private company. Moreover, he should ensure that the supplier delivered brand new units; otherwise, the persons responsible for the acceptance of the units shall be made liable.

Supply and Delivery of Brand New Various Heavy Equipment and Dump Trucks

- The City Mayor should require the immediate repair of the hydraulic hose of the wheel loader to avoid further damage.

Land Improvement – Tuguegarao City Hall Compound

- The City Mayor effect the following measures to correct the deficiencies/observations noted by the COA Technical Audit Specialists:
  - The steel gates and steel grills should be repainted as the applied epoxy primer paint was not enough to protect it from corrosion
  - The landscaping should be properly maintained to prevent further loss or damage of government properties

4. **Ten (10) out of the 14 planned programs and projects funded out of the 20% Local Development Fund were not yet completed or implemented as of**

December 31, 2016, hence, socio-economic benefits and services due to the City's constituents were delayed.

We recommended that Management fast track the implementation of all the unimplemented programs and projects of the LGU and ensure that future projects to be included in the Annual Investment Plan are implemented as scheduled.

5. **Utilization of the special trust fund and donations for disaster risk reduction and management in the total amount of P2,088,251.00 was low, which deprived the constituents of the benefits had the funds been efficiently used.**

   We recommended that Management ensure the timely utilization of special trust funds and donations for disaster risk reduction and management activities in order to improve the City's ability to prepare for and respond to threats brought about by various calamities and disasters.

6. **Trust funds from various government agencies amounting to P15,967,840.00 remained unutilized as of year-end, which resulted in the delay of the provision of expected benefits from the intended programs, projects and activities.**

   We recommended that Management expedite the implementation of various programs, projects and activities for which the fund transfers from various government agencies were received to prevent further delay in the attainment of the intended benefits.

E. Summary of Total Suspensions, Disallowances, and Charges:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions:					
Prior Years	5,269,284.44	0.00	4,620,330.30	648,954.14	87.68%
Current Year	0.00	1,573,186.48	1,331,370.00	241,816.48	84.63%
Total	**5,269,284.44**	**1,573,186.48**	**5,951,700.30**	**890,770.62**	**86.98%**
Disallowances:					
Prior Years	10,543,747.67	0.00	638,546.33	9,905,201.34	6.06%
Current Year	0.00	8,099,025.20	1,281,360.67	6,817,664.53	15.82%
Total	**10,543,747.67**	**8,099,025.20**	**1,919,907.00**	**16,722,865.87**	**10.30%**
Charges:					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**

Disallowances totaling P13,358,351.36 is on appeal.

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations:

Of the 26 audit recommendations embodied in the 2015 Annual Audit Report, only five (5) were implemented, eleven (11) were partially implemented and ten (10) were not implemented.